



HALF YEAR RESULTS

The directors are pleased to announce the un-audited financial results for the six months ended 31 December 2020.

Consolidated Statement of Income

	2020 Shs'000	2019 Shs'000
Revenue	9,742,012	10,033,267
Operating profit	217,896	303,507
Finance Income	8,152	5,475
Finance Costs	(103,504)	(89,561)
Profit before tax	122,544	219,421
Tax expense	(39,068)	(68,099)
Profit for the period	83,476	151,322
Attributable to:		
Owners of the parent	47,904	94,561
Non-controlling interest	35,572	56,761
	83,476	151,322
 Basic and diluted earnings per share (Shs)	 0.63	 1.25

Consolidated Statement of Financial Position

	2020	2019
	Shs'000	Shs'000
Assets		
Non-Current Assets	4,056,010	4,033,153
Current Assets	5,695,089	6,301,735
Total Assets	9,751,099	10,334,888
Equity and Liabilities		
Share Capital	378,535	378,535
Reserves	3,700,531	3,751,468
Minority Interests	2,080,960	2,070,440
Non-Current Liabilities	1,057,971	1,222,842
Current Liabilities	2,533,102	2,911,243
Total Equity and Liabilities	9,751,099	10,334,888

Consolidated Statement of Cash Flows

	2020 Shs'000	2019 Shs'000
Cash generated from operations	266,858	(424,864)
Tax Paid	(17,583)	(39,514)
Net cash from/(used) in operating activities	249,275	(464,378)
Net cash used in investing activities	(65,117)	(54,936)
Net cash used in financing activities	(37,816)	(174,824)
Net increase/(decrease) in cash and & cash equivalents	146,342	(694,138)
At the beginning of the period	676,122	651,296
At the end of period	822,464	(42,842)

Consolidated Statement of Changes in Equity

	Attributable to equity holders Shs'000	Non- controlling interest Shs'000	Total Sh'000
At 1 July 2020	4,040,655	2,050,499	6,091,154
Profit for the year	47,904	35,573	83,477
Other comprehensive Income for the year	(9,493)	(5,112)	(14,605)
Total comprehensive income for the year	38,411	30,461	68,872
At 31 December 2020	4,079,066	2,080,960	6,160,026

COMMENTARY

Revenue declined 3% over the same period prior year, mainly due to the prevailing unfavourable business environment and weak demand arising from effects of the Covid-19 pandemic. Profitability was impacted by depressed margins, re-structuring and finance costs.

Key raw material prices were relatively high in the period; with the onset of the local maize harvest, some improvement was experienced in the second quarter. Depreciation of the Kenya Shilling against the US Dollar impacted importation costs and led to substantial forex losses.

Credit risk remained high, but the Group made every effort to accommodate its customers to ensure product availability.

Opportunities in new product lines continued to be explored. The necessary investments continue to be made to bring these on-going initiatives to fruition.

Delayed payment from the Government of Kenya continues to negatively impact operations and cashflows. The debt owed to the human nutrition business remains outstanding more than three years after grain was supplied in support of the government-led maize subsidy program. In the period since, significant expenses have been incurred in interest on borrowings.

Outlook

World wheat prices have rallied to levels not seen in the past decade. Some of the major exporting economies have imposed adverse export fiscal measures.

Weak demand coupled with excess production capacity and reducing maize grain supply will be a challenge for the rest of the financial year.

Change of maize and wheat flour VAT status from zero-rated to exempt in January 2021 has increased the cost of operations. The delay in receipt of tax refunds and government debt will have a negative impact on performance.

The Group will continue to leverage on its strengths to drive performance improvement initiatives across all operations to counter the challenging business environment.

The Directors do not recommend payment of an interim dividend.

By order of the Board

Winnie Jumba
Company Secretary
25 February 2021